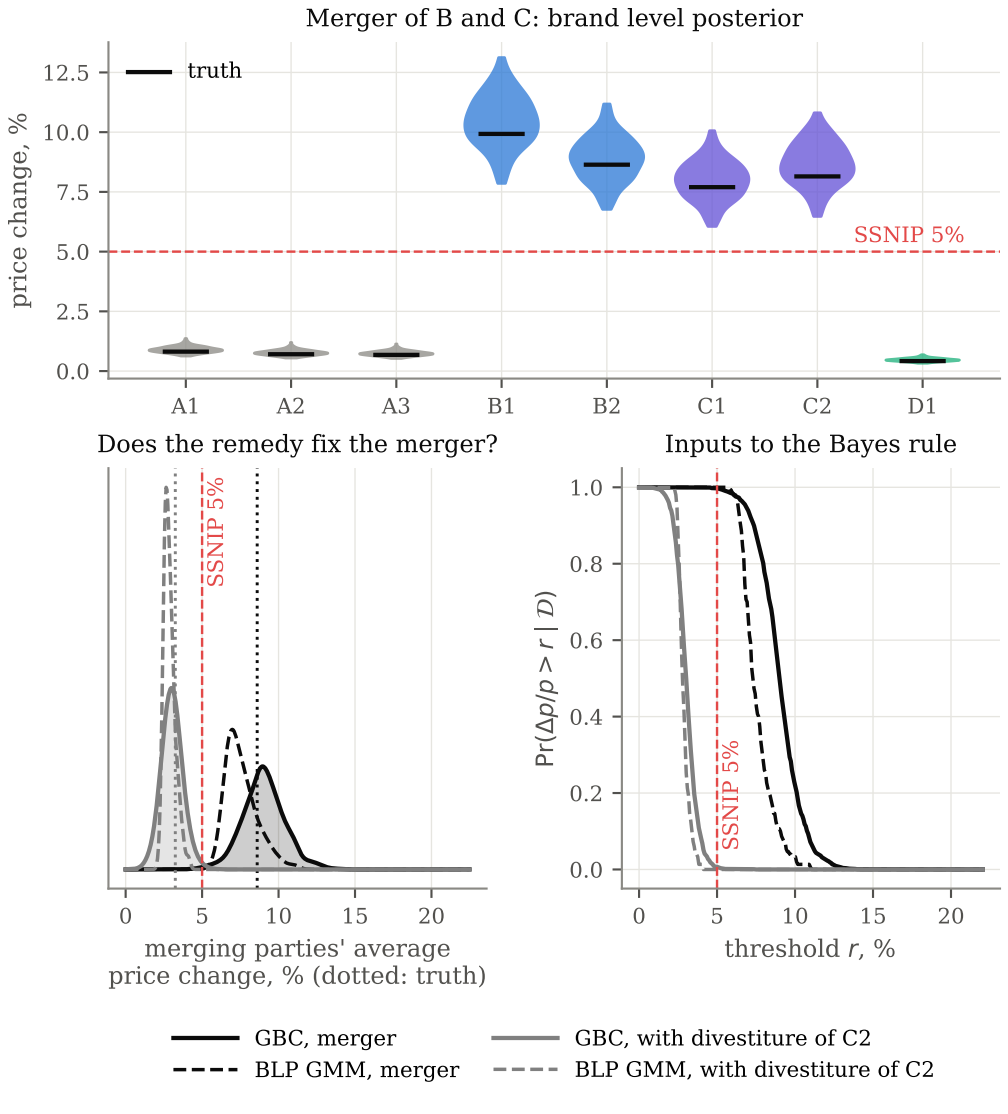
Merger of B and C: brand level posterior
truth
price change, %
12.5
10.0
7.5
5.0
2.5
0.0
SSNIP 5%
A1
A2
A3
B1
B2
C1
C2
D1
Does the remedy fix the merger?
SSNIP 5%
0
5
10
15
20
merging parties' average
price change, % (dotted: truth)
Inputs to the Bayes rule
Pr(Δp/p > r | D)
1.0
0.8
0.6
0.4
0.2
0.0
SSNIP 5%
0
5
10
15
20
threshold r, %
GBC, merger
BLP GMM, merger
GBC, with divestiture of C2
BLP GMM, with divestiture of C2